

Plan for the short term. Put any money you need in the short term (less than five years) in more stable short-term financial vehicles like certificates of deposit and savings accounts. This money should not be invested in the stock market. The last thing you want is to need the money for a short-term goal when the market is going through a decline.

Determine your risk tolerance. When you invest your money, you assume the risk of losing part (or even all) of your investment, and that's why it's important to determine your risk tolerance to make sure your tolerance level is in line with your investment objectives. This way, you don't lose sleep every time there is a short-term market dip. The longer you keep your money invested, the longer it has to grow and the longer it has to recover in the event of a market downturn like a recession.

Understand your investment fees. Fees can add up over the lifetime of your investment if care is not taken. I'm talking tens or even hundreds of thousands of dollars depending on how much you have invested over time. So, it's important to understand the different fees associated with your investments and to shop around to ensure you're getting the best deal. As discussed earlier, some fee types include brokerage commissions for buying and selling your investments, annual maintenance fees typically based on a percentage of your portfolio, and management fees for any investment advisors managing your portfolio.

Invest in funds instead of individual stocks. Unless you have several hours each day to monitor your stocks or have a strong understanding of the stock market, it's a better idea to invest in funds like index funds or ETFs. Investing in funds can help you create a well-diversified portfolio, as they typically include a wide variety of stocks or bonds. Don't forget to do your research to understand the composition, objectives, and fees associated with the funds you are interested in investing in.

Rebalance your portfolio. To make sure you are staying on top of your investment objectives and timeline, set annual or more frequent reminders to review your portfolio in order to determine if it needs to